

CONSOLIDATED PERFORMANCE

+7.1%

Gross rents like-for-like YoY

+19.5%

FFO per share YoY

+6.2%

EPRA NTA per Share YTD

- **Very strong semester with high FFO generation and LfL rental growth**
- **Outstanding net rents growth (+21.8%)** due to LfL rent increase and incentives reduction
- **FFO per share of € 0.34, 19.5% increase compared to 6M21. We upgrade our guidance for 2022 to € 0.60 per share**
- **BBVA portfolio disposal executed on June 15th.** The company will pay **an extraordinary dividend of € 0.75 per share** in August
- **Data Centers on track:** Bilbao-Arasur pre-let and under construction. Madrid-Getafe and Barcelona-PLZF licences obtained. Works will start in 3Q22
- **Flat revaluation (+1.2% LfL vs FY21).** EPRA NTA per share at € 17.10 (+6.2% vs FY21). € 16.35 PF after the extraordinary dividend to be paid in August

Net Leases reclassified as discontinued operations in 6M22. 6M21 results restated accordingly⁽¹⁾

(€ million)	6M22	6M21 Restated	YoY
Total revenues	226.6	209.7	+8.1%
Gross rents	222.6	205.4	+8.3%
Gross rents after incentives	209.3	177.0	+18.3%
Net rents after propex & collection losses	186.4	153.1	+21.8%
Gross-to-net margin ⁽²⁾	89.0%	86.5%	
EBITDA ⁽³⁾	165.8	136.2	+21.7%
Margin	74.5%	66.3%	
FFO ⁽⁴⁾	157.5	131.7	+19.5%
Margin	70.7%	64.1%	
AFFO	152.8	124.4	+22.8%
Net earnings	491.6	190.3	+158.3%

(€ per share)	6M22	6M21	YoY
FFO	0.34	0.28	+19.5%
AFFO	0.33	0.26	+22.8%
EPS	1.05	0.41	+158.3%
EPRA NTA	17.10	15.55	+10.0%

BUSINESS PERFORMANCE

+5.5%

Offices

+9.3%

Logistics

+6.0%

S. Centers

Rents like-for-like YoY

+6.3%

Offices

+6.7%

Logistics

+5.4%

S. Centers

Release spread LTM

+69 bps⁽⁵⁾

Occupancy vs 31/03/2022

95.1%

- **Offices:** 65,797 sqm contracted. LfL of **+5.5%** and **release spread** of **+6.3%**
- **Logistics:** 152,683 sqm contracted. LfL of **+9.3%** and **release spread** of **+6.7%**
- **Shopping centers:** 34,698 sqm contracted. LfL of **+6.0%** and **release spread** of **+5.4%**

⁽¹⁾ As a result of the reclassification of Net Leases as discontinued operations, income from Net Leases is only considered in Net earnings, FFO and AFFO metrics. PF metrics have been added for ease of comparison

⁽²⁾ Net of incentives

⁽³⁾ Excludes non-overhead costs items (€ 1.1m) plus LTIP accrual (€ 2.9m)

⁽⁴⁾ FFO equals EBITDA less net interest payments, less minorities, less recurring income taxes plus share in earnings of equity method

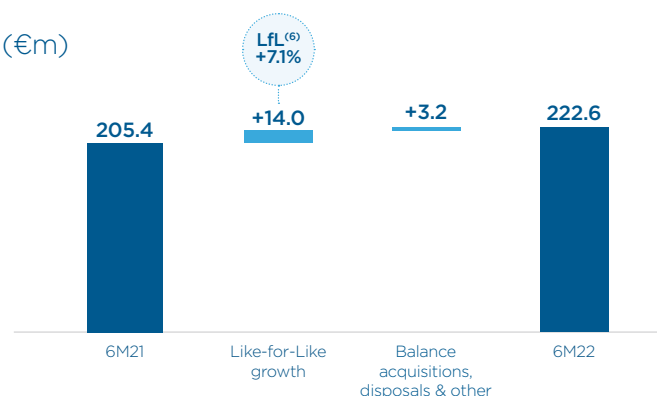
⁽⁵⁾ Vs 3M22 PF occupancy

⁽⁶⁾ Portfolio in operation for 6M21 (€ 196.5m of GRI) and for 6M22 (€ 210.5m of GRI)

6M22	Contracted	Rent		Leasing activity	Occ. vs 31/03/22
	sqm	€ m	LfL change	Release spread	Bps
Offices	65,797	119.6	+5.5%	+6.3%	+4
Logistics	152,683	35.6	+9.3%	+6.7%	+136
Shopping centers	34,698	60.7	+6.0%	+5.4%	+4
Other	n.a.	6.6	+45.8%	n.m.	(1)
Total	253,178	222.6	+7.1%		+69

Gross rents bridge

(€m)



OFFICES

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 6M22 (€ m)	Passing rent (€/sqm/m)	WAULT (yr)
Madrid	83.3	19.4	3.5
Barcelona	20.0	20.1	2.4
Lisbon	14.9	20.1	4.8
Other	1.3	11.1	7.3
Total	119.6	19.5	3.5

Leasing activity

- **Excelent LfL rental increase (+5.5%) and release spread (+6.3%) improved vs 3M22**
- **2Q22 leasing activity highlights:**
 - 8,318 sqm renewal with American Express in Partenon 12-14, Madrid
 - 4,201 sqm renewal with Servizurich in Poblenou 22@, Barcelona
 - 2,465 sqm renewal with Logicalis in P.E. Puertas de las Naciones, Madrid
 - 1,845 sqm new lease with Baxy Calderas in PLZFB, Barcelona
 - 1,546 sqm new lease with Mercedes Benz in Torre Zen, Portugal
 - 1,190 sqm new lease with AI Renewals in Atica 4, Madrid
 - 1,037 sqm new lease with Sodexo in PE Alvento, Madrid
 - 1,000 sqm new lease with Selenta Group in Diagonal 605, Barcelona

sqm	Contracted	Out	In	Renewals ⁽²⁾	Net	LTM	
						Release spread	# Contracts
Madrid	36,234	(22,120)	24,214	12,020	2,094	+4.5%	91
Barcelona	24,651	(9,455)	13,024	11,627	3,569	+10.0%	44
Lisbon	4,912	(3,537)	3,754	1,158	217	+21.9%	7
Total	65,797	(35,112)	40,992	24,805	5,880	+6.3%	142

Occupancy

- **Slight occupancy increase (+4 bps vs 3M22) for the fourth consecutive quarter**
- **126 bps occupancy recovery since Covid-19 trough in 6M21**
- **By markets, best performer this quarter has been Barcelona Prime**

Stock	1,150,502 sqm
WIP	144,132 sqm
Stock incl. WIP	1,294,634 sqm

	Occupancy rate ⁽³⁾		
	6M22	3M22	Change bps
Madrid	87.9%	88.0%	(9)
Barcelona	94.1%	93.8%	+32
Lisbon	99.6%	99.6%	+9
Other	100.0%	100.0%	-
Total	90.4%	90.3%	+4

⁽¹⁾ Portfolio in operation for 6M21 (€ 103.6m of GRI) and for 6M22 (€ 109.3m of GRI)

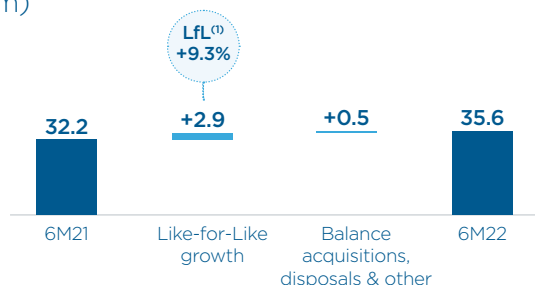
⁽²⁾ Excluding roll-overs

⁽³⁾ MERLIN policy excludes buildings under complete refurbishment. Buildings excluded this period are Plaza Ruiz Picasso, Plaza Cataluña 9, Pere IV, Atica 1, PE Cerro Gamos, PLZFA, PE Atica XIX D and Adequa 4 & 7

LOGISTICS

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 6M22 (€ m)	Passing rent (€/sqm/m)	WAULT (yr)
Madrid	22.1	4.2	3.6
Barcelona	5.2	7.0	2.5
Other	8.3	4.0	3.1
Total	35.6	4.4	3.3

Leasing activity

- **Record high growth in rents (+9.3% LfL)** thanks to full occupancy, indexation and reversionary capture
- **Release spread accelerating (+6.7%)**
- **2Q22 leasing activity highlights:**
 - 47,892 sqm renewal with XPO in A2-Cabanillas Park I D, Madrid
 - 25,221 sqm new lease with DSV in A2-Cabanillas Park I H, Madrid
 - 20,764 sqm new lease with XPO in Zaragoza-Plaza I, Zaragoza
 - 2,043 sqm new lease with Ikea in A2-Coslada Complex, Madrid
 - 2,031 sqm new lease with Aldisca in PLZF, Barcelona

sqm	Contracted	Out	In	Renewals	Net	LTM	
						Release spread	# Contracts
Madrid	102,420	(2,710)	43,390	59,030	40,680	+3.6%	6
Barcelona	2,725	(9,555)	2,725	-	(6,830)	+12.2%	2
Other	47,538	-	20,764	26,774	20,764	-	4
Total	152,683	(12,265)	66,879	85,804	54,614	+6.7%	12

Occupancy

- **Full occupancy at both MERLIN (99.2%) and ZAL Port (100.0%)** with over 2.1m sqm let

Stock	1,391,854 sqm
WIP⁽²⁾	697,231 sqm
Best II	306,919 sqm
Best III	390,312 sqm
Stock incl. WIP	2,089,085 sqm
ZAL Port	736,384 sqm
Stock managed	2,825,469 sqm

	Occupancy rate		
	6M22	3M22	bps
Madrid	99.7%	99.8%	(7)
Barcelona	93.6%	94.8%	(120)
Other	100.0%	94.6%	+536
Total	99.2%	97.8%	+136

⁽¹⁾ Portfolio in operation for 6M21 (€ 31.4m of GRI) and for 6M22 (€ 34.3m of GRI)

⁽²⁾ WIP includes in progress and Landbank Best II & III

LOGISTICS (CONT.)

INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Best II (as from 30/06/2022)

	GLA (sqm)	ERV (€m)	Investment (€m)	ERV YoC
Delivered⁽¹⁾	278,960			
A4-Pinto II	29,473	1.2	13.7	8.6%
A2-Cabanillas III	21,879	0.9	11.8	7.8%
A2-Cabanillas Park I F	20,723	0.9	10.8	7.9%
A2-Cabanillas Park I G	22,506	0.9	13.5	6.9%
A4-Seseña	28,731	1.2	15.5	7.7%
A2-Azuqueca II	96,810	4.4	54.7	8.1%
A2-San Fernando II	33,592	1.9	22.1	8.5%
A2-Cabanillas Park I H	25,247	1.1	15.6	6.9%
In progress	92,644			
A2-Cabanillas Park II A	47,403	2.1	25.7	8.1%
A2-Cabanillas Park I J	45,241	1.8	26.9	6.9%
Landbank	214,275			
A2-Cabanillas Park II	163,275	7.1	88.5	8.1%
A2-Azuqueca III	51,000	2.3	30.1	7.7%
Total	585,879	25.8	328.9	7.8%

Best III (as from 30/06/2022)

	GLA (sqm)	ERV (€m)	Investment (€m)	ERV YoC
Delivered⁽¹⁾	107,690			
Valencia-Ribarroja	34,992	1.9	26.3	7.2%
Sevilla Zal WIP A	27,528	1.4	11.9	12.0%
Lisbon Park A	45,171	2.1	29.5	7.1%
Landbank	390,312			
Lisbon Park	179,693	8.4	118.1	7.1%
Sevilla ZAL WIP	15,122	1.6	18.0	9.0%
A2-San Fernando III	98,924	5.1	54.9	9.3%
Valencia	96,572	4.4	56.2	7.8%
Total	498,002	24.9	314.9	7.9%

⁽¹⁾ Reclassified as part of the existing stock

SHOPPING CENTERS

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 6M22 (€ m)	Passing rent (€/sqm/m)	WAULT (yr)
MERLIN	60.7	21.8	2.2

Footfall and tenant sales⁽²⁾

	vs 6M21	vs 6M19
Tenant sales	+44.8%	(1.5%)
Footfall	+30.6%	(11.2%)
OCR ⁽³⁾	12.5%	

Leasing activity

- **Footfall (+30.6% vs 6M21) and tenant sales (+44.8% vs 6M21)** continue recovering
- **OCR at sustainable levels (12.5%)**
- **2Q22 leasing activity highlights:**
 - 1,600 sqm new lease (extension) with Zara in Artea
 - 1,163 sqm renewal with Sportzone in Almada
 - 1,000 sqm renewal with New Yorker in Marineda
 - 460 sqm renewal with Williamsburg Grill & Beer in X-Madrid
 - 331 sqm new lease with Mango in Larios

sqm	Contracted	Out	In	Renewals	Net	LTM	
						Release spread	# Contracts
Total	34,698	(10,810)	11,430	23,268	620	+5.4%	183

Occupancy

- **Occupancy continues increasing for the fifth consecutive quarter (+4 bps vs 3M22)**
- **Best performer** this quarter has been **Artea**

Stock	461,421 sqm
Tres Aguas ⁽⁴⁾	67,940 sqm
Stock with Tres Aguas	529,361 sqm

	Occupancy rate		
	6M22	3M22	bps
Total	94.3%	94.3%	+4

⁽¹⁾ Portfolio in operation for 6M21 (€ 57.1 m of GRI) and for 6M22 (€ 60.6m of GRI)

⁽²⁾ Excluding X-Madrid, opened in November 2019

⁽³⁾ Including the impact of the commercial policy

⁽⁴⁾ Tres Aguas at 100% allocation

BALANCE SHEET

- **LTV reduced to 27.4%** (-1,174 bps vs FY21) thanks to the BBVA portfolio disposal
- **Fast deleveraging: € 2.1bn gross debt repaid YTD with available cash**
- **Repayments on the period include** € 548.3m in bonds, € 670m BBVA portfolio mortgage loan and € 850m syndicated loan
- **Strong financial situation to navigate challenging times:** low LTV, 100% interest rates fixed, 98% unsecured, € 1.8bn liquidity and just € 750m debt repayments until May 2025

Ratios	30/06/2022	31/12/2021
LTV	27.4%	39.2%
Av. Interest rate	1.94%	2.07%
Av. Maturity (years)	5.4	5.3
Unsecured debt to total debt	97.9%	87.9%
Interest rate fixed	99.6%	100.0%
Liquidity position (€m) ⁽¹⁾	1,773	1,811

	€ million
GAV	11,390
Gross financial debt	4,158
Cash and equivalents ⁽²⁾	(941)
Net financial debt	3,216
NTA	8,035

Corporate rating		Outlook
S&P Global	BBB	Positive
MOODY'S	Baa2	Positive

VALUATION

- **€ 11,390m GAV, +1.2% LfL** as compared to December 2021
- Yields have experienced a slight expansion (+15 bps) compensated by rental growth
- Broadly stable portfolio with Logistics (including ZAL Port within equity method) outperforming

	GAV (€ m)	LfL Growth	Gross yield	Yield expansion / (compression) ⁽³⁾
Offices	6,429	1.2%	4.1%	+10
Logistics	1,357	3.6%	5.2%	+18
Shopping centers	2,195	(0.4%)	5.4%	+25
WIP & land	384	n.a.	n.a.	
Other	410	0.4%	3.9%	+48
Equity method	615	2.5%	n.a.	
Total	11,390	1.2%	4.5%	+15

⁽¹⁾ Includes cash (€ 843.0m) and treasury stock (€ 17.3m), Silicius receivable (€ 81.0m) and undrawn credit facilities (€ 831.2m) in 6M22

⁽²⁾ Includes cash (€ 843.0m) and treasury stock (€ 17.3m) and Silicius receivable (€ 81.0m)

⁽³⁾ Bps based on passing rent

INVESTMENTS, DIVESTMENTS AND CAPEX

- **BBVA portfolio disposal (implied GAV 2,077.1m, +17.1% premium to GAV)** executed on June 15th
- **€ 111.2m non-core assets divestments at 8.9% premium** including 4 office buildings comprising 33,783 sqm, a high street retail unit and a minority stake in an office building
- **Landmark Plan with just one building under refurbishment**
- Capex efforts will be focused on **Best II & III and Digital Infrastructure Plan (Mega)**. Bilbao-Arasur Data Center works are ongoing

	Offices	Retail	Logistics	Data Centers	€ million
Acquisitions	Diagonal 514			Bilbao (Data Center)	12.4
Development			A2-San Fernando III A2-Cabanillas Park II A2-Cabanillas Park I J	Barcelona (Data Center) Bilbao (Data Center) A4-Getafe (Data Center) Lisbon (Data Center)	49.4
Investment properties	Plaza Ruiz Picasso Torre Glories Atica 1 Pere IV Plaza de Cataluña 9		A4-Getafe (CLA)		19.6
Like-for-like portfolio (Defensive Capex) ⁽¹⁾					6.3
Total					87.7

SUSTAINABILITY

- **Intensive effort in terms of portfolio certification**, having obtained 4 LEED/BREEAM/WELL certificates during the quarter
- **The program is nearing completion**, with Shopping Centers 100% completed, 91% of Logistics and 94% of Offices already certified
- MERLIN has announced its **Net Zero Pathway (2030)** and requalified its **outstanding bonds into Green bonds**

Castellana 85	Nestlé	X-Madrid	Getafe (CLA)
			
WELL Platinum	LEED Gold	BREEAM Excellent	BREEAM Good

⁽¹⁾ € 4.7m are capitalized in balance sheet and € 1.6m are expensed in P&L

POST CLOSING

- On July 27th, MERLIN collected the receivable (€ 81.0m) from **Silicius**
- On July 28th, MERLIN approved an **extraordinary dividend** linked to the disposal of the BBVA portfolio amounting to **€ 0.75 per share. This extraordinary dividend will be paid on August 18th**

APPENDIX

1. Consolidated Profit and Loss

2. Consolidated Balance Sheet

1. Consolidated Profit and Loss

Net Leases have been reclassified as discontinued operations in 6M22 and 6M21 results have been restated. As a consequence, the attributable result is included within "Result from discontinued operations" in the bottom line of the profit and loss account

(€ thousand)	30/06/2022	30/06/2021
Gross rents	222,556	205,434
Offices	119,639	111,513
Logistics	35,618	32,230
Shopping centers	60,720	57,154
Other	6,579	4,537
Other income	4,039	4,248
Total Revenues	226,595	209,682
Incentives	(13,228)	(8,871)
Covid-19 relief	-	(19,611)
Total Operating Expenses	(51,647)	(52,267)
Propex	(22,931)	(23,864)
Personnel expenses	(16,188)	(14,755)
Opex general expenses	(8,461)	(6,391)
Opex non-overheads	(1,141)	(1,671)
LTIP Provision	(2,926)	(5,586)
ACCOUNTING EBITDA	161,719	128,932
Depreciation	(878)	(767)
Gain / (losses) on disposal of assets	5,678	(2,288)
Provisions	(384)	1,614
Change in fair value of investment property	122,298	45,224
EBIT	288,433	172,715
Net financial expenses	(48,348)	(48,323)
Debt amortization costs	(10,952)	(5,497)
Gain / (losses) on disposal of financial instruments	(1)	(219)
Change in fair value of financial instruments	32,928	3,073
Share in earnings of equity method instruments	16,494	14,774
PROFIT BEFORE TAX	278,554	136,523
Income taxes	(8,640)	640
PROFIT (LOSS) FOR THE PERIOD RECURRING OPERATIONS	269,914	137,163
Result from discontinued operations	221,731	53,173
Minorities	-	-
PROFIT (LOSS) FOR THE PERIOD ATTRIBUTABLE	491,645	190,336

2. Consolidated Balance Sheet

(€ thousand)

ASSETS	30/06/2022	EQUITY AND LIABILITIES	30/06/2022
NON CURRENT ASSETS	11,572,830	EQUITY	7,510,299
Intangible assets	1,705	Subscribed capital	469,771
Property, plant and equipment	6,562	Share premium	3,541,379
Investment property	10,802,797	Reserves	3,024,274
Investments accounted for using the equity method	494,654	Treasury stock	(17,310)
Non-current financial assets	187,294	Other equity holder contributions	540
Deferred tax assets	79,818	Interim dividend	-
		Profit for the period	491,645
		Minorities	-
		NON-CURRENT LIABILITIES	4,159,972
		Long term debt	3,530,515
		Long term provisions	10,336
		Deferred tax liabilities	619,121
CURRENT ASSETS	1,011,850	CURRENT LIABILITIES	914,409
Trade and other receivables	34,534	Short term debt	789,058
Short-term financial assets	83,646	Trade and other payables	101,332
Cash and cash equivalents	843,003	Other current liabilities	24,019
Other current assets	50,667		
TOTAL ASSETS	12,584,680	TOTAL EQUITY AND LIABILITIES	12,584,680



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